

National Summary

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Overall Economic Activity

Economic activity expanded across all twelve Federal Reserve Districts in June, with the pace of growth ranging from slight to moderate. In addition, the majority of Districts expected modest to moderate gains in the months ahead. Consumer spending appears to be rising across a majority of Districts, led by increases in nonauto retail sales and tourism. However, many Districts noted some softening in consumer spending, particularly in auto sales which declined in half of the Districts. Manufacturing and nonfinancial services activity continued to grow, with most Districts reporting modest to moderate gains since the last report. Loan demand was steady to increasing in most Districts. Residential and non-residential construction activity was flat to expanding in most Districts. Most Districts cited low home inventory levels in certain market segments which were constraining home sales in many areas. Agricultural conditions were mixed across the nation as moisture conditions varied considerably; several Districts continued to report weakness in dairy and some crop sectors due to low prices. Energy activity generally improved since the last survey, particularly for oil and natural gas. Coal production remained sluggish although higher than year-ago levels.

Employment and Wages

Employment across most of the nation maintained a modest to moderate pace of expansion, although the Atlanta and St. Louis Districts noted flat employment levels. Labor markets tightened further for both low- and high-skilled positions, particularly in the construction and IT sectors. Contacts across a broad range of industries reported a shortage of qualified workers which had limited hiring. Wages continued to grow at a modest to moderate pace in most Districts, and many firms attributed these wage gains to tighter labor market conditions. Wage pressures generally trended with employment conditions, and rising wage pressures were noted among both low- and high-skilled positions. A few Districts also reported rising costs of benefits and variable pay.

Prices

Prices continued to rise modestly in the majority of Districts, and a few Districts noted that price pressures had eased slightly. Several Districts reported higher construction materials costs and freight prices, while gasoline prices fell. Retail prices held steady or slightly increased, and the manufacturing sector noted steady to modestly rising input costs. Low agricultural prices were causing stress for some farmers, although some food retailers reported improved margins due to lower commodity prices. Home prices continued to increase in most Districts.

Highlights by Federal Reserve District

Boston

Economic activity in the First District expanded at a modest pace in recent weeks. Hiring activity was mixed, proceeding at a moderate pace on average. Wage increases remained moderate with not much variation. Prices were mostly stable with some noteworthy exceptions. Contacts were cautiously optimistic concerning prospects for further growth.

New York

Economic growth has picked up to a modest pace in recent weeks. Labor markets have tightened further, as hiring has picked up. Input cost pressures have become somewhat less widespread, while selling prices continued to rise modestly. Housing markets have strengthened, whereas commercial real estate markets have softened slightly.